



SANJIV MEHTA
CEO & MD, HUL

“HUL witnessed its volumes fall in the rural market in the October-December quarter due to reduction in grammage”



SURESH NARAYANAN
CHAIRMAN & MD, NESTLE INDIA

“As costs continued to surge, it impacted Nestle’s profit from operations. This was despite the firm growing its volume offtake by 5 per cent YoY”



MOHIT MALHOTRA
CEO, DABUR INDIA
(AT A POST-EARNINGS CALL)

“Inflation is hitting us, putting pressure on our gross margin. It continues unabated and is reflected in WPI at 14.6% and in CPI at 6.95% in March 2022”

Take Nestle India, for instance. India’s largest pure-play packaged foods company with annual sales exceeding ₹14,700 crore in CY2021, Nestle saw its margins contract significantly in the January-March quarter due to rising input costs. While the company managed to grow its sales by 9.6 per cent year-on-year (YoY) during the quarter, its cost of materials consumed surged by 22 per cent. This reflected on its profitability. In the March quarter, Nestle’s net profit inched down by 1.17 per cent YoY to ₹595 crore. Its Ebitda margin fell by 268 basis points (bps) YoY, while net profit margin declined by 174 bps.

According to Nestle India Chairman and MD Suresh Narayanan, the costs of key raw and packaging materials are at 10-year highs. As costs continued to surge during the quarter, it impacted Nestle’s profit from operations. This was despite the firm growing its volume offtake by 5 per cent YoY and “better than expected” business through out-of-home channels, which had remained subdued for the past two years.

HINDUSTAN UNILEVER (HUL), India’s market leader in personal and home care products, reported a 10.73 per cent surge in net sales and a 5.34 per cent rise in net profit in the March quarter. But its margins, both for Ebitda and net profit, shrank by 0.3 per cent and 0.37 per cent, respectively. CEO and MD Sanjiv Mehta pins the lower-than-industry-average fall in margins to better cost management measures. “Despite unprecedented levels of inflation, we have been able to keep our margins almost flat versus last year,” he said in a post-earnings call.

Rival Godrej Consumer Products Ltd (GCPL) is feeling the heat as well. While its net sales grew 6.8 per cent in the March quarter, its net profit remained flat and Ebitda margin contracted by 3.82 per cent. GCPL CEO and MD Sudhir Sitapati says while its India business grew, international markets such as Indonesia and South Africa hurt the company’s finances during the quarter due to higher inflation. The future, however, is more uncertain. With the Ukraine-Russia conflict dragging on, the India business will be hit soon, says Sitapati. “The recent inflation brought about by the Ukraine crisis will hit our [India] P&L majorly only in Q1 (April-June 2022) and we again expect a relatively sharp drop for this quarter,” he cautioned after the March quarter results.

Ghaziabad-based ayurveda major Dabur India is no less vulnerable to inflationary pressures. With most of its portfolio being petroleum-linked, “there is huge inflation hitting us, which is putting pressure on our gross margin”, said CEO Mohit Malhotra during a post-earnings call. Significant inflation forced Dabur to raise prices by 12.5 per cent across its portfolio in 2021-22. “Inflation continues to be unabated and is reflected in WPI (wholesale price index) at 14.6 per cent